Share gained by Arya $= \frac{2}{8}$

Gaining ratio $= \frac{2}{8} : 0$ that is, $\frac{1}{4} : 0$ or 1:0

New share of continuing partner = Old share + Share gained

Arya $= \frac{3}{8} + \frac{2}{8} = \frac{5}{8}$

Benin $= \frac{3}{8} + 0 = \frac{3}{8}$

Therefore, new profit sharing ratio of Arya and Benin is $\frac{5}{8} : \frac{3}{8}$ that is 5:3.

(b) More than one partner gains the retiring partner's share

(i) Proportion of share gained on retiring partner's share is given

When new profit sharing ratio is not given, but the proportion of share gained on retiring partner's share is given, new profit sharing ratio is calculated as follows:

New share of continuing partners = Old share + Share gained

Share gained = Retiring partner's share × Proportion of share gained

Illustration 9

Rahul, Ravi and Rohit are partners sharing profits and losses in the ratio of 5:3:2. Rohit retires and the share is taken by Rahul and Ravi in the ratio of 3:2. Find out the new profit sharing ratio and gaining ratio.

Solution

Rohit's share $\frac{2}{10}$

Share gained = Retiring partner's share × Proportion of share gained

Rahul $= \frac{2}{10} \times \frac{3}{5} = \frac{6}{50}$

Ravi $= \frac{2}{10} \times \frac{2}{5} = \frac{4}{50}$

Gaining ratio $= \frac{6}{50} : \frac{4}{50}$ that is, 3:2

New share of continuing partners = Old share + Share gained

Rahul $= \frac{5}{10} + \frac{6}{50} = \frac{25+6}{50} = \frac{31}{50}$

Ravi $= \frac{3}{10} + \frac{4}{50} = \frac{15+4}{50} = \frac{19}{50}$

The new profit sharing ratio of Rahul and Ravi is $\frac{31}{50} : \frac{19}{50}$ that is 31:19.

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